

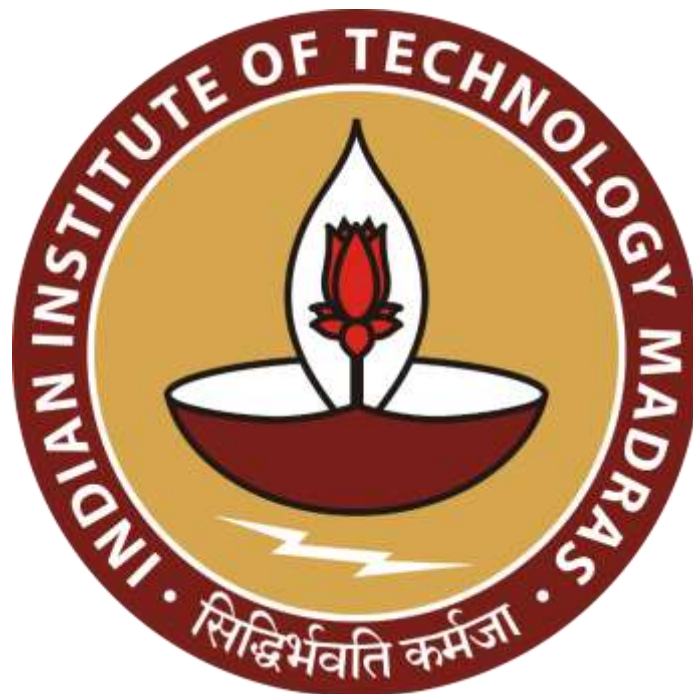
Business Expansion & Profitability Strategies for PandaFoodz

A Proposal report for the BDM capstone Project

Submitted by

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Declaration Statement

I am working on a Project titled “**Business Expansion & Profitability Strategies for Pandafoodz**”. I extend my appreciation to PandaFoodz , for providing the necessary resources that enabled me to conduct my project.

I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered from primary sources and carefully analyzed to assure its reliability.

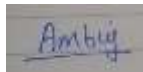
Additionally, I affirm that all procedures employed for the purpose of data collection and analysis have been duly explained in this report. The outcomes and inferences derived from the data are an accurate depiction of the findings acquired through thorough analytical procedures.

I am dedicated to adhering to the principles of academic honesty and integrity, and I am receptive to any additional examination or validation of the data contained in this project report.

I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me. In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority.

I understand that all recommendations made in this project report are within the context of the academic project taken up towards course fulfillment in the BS Degree Program offered by IIT Madras. The institution does not endorse any of the claims or comments.

Signature of Candidate:

A small rectangular box containing a handwritten signature in blue ink that reads "Ambuj".

Name: Ambuj Pratap

Date: 04/ 07 / 2024

Contents

1	Executive Summary	3
2	Organization Background	3
3	Problem Statement	4
3.1	Problem Statement 1	4
3.2	Problem Statement 2	4
3.3	Problem Statement 3	4
4	Background of the Problem	4
5	Problem Solving Approach	5-6
6	Expected Timeline	6-7
7	Expected Outcome	7

1. Executive Summary

This project centers on Pandafoodz, a small food delivery company founded and managed by Mr. Chhavi Kant Raghav in Diba, Bulandshahr, Uttar Pradesh. The company operates with five employees and specializes in delivering food from restaurants directly to customers within their town. Pandafoodz faces several key challenges. These include limited funds hindering business expansion, a significant number of fake orders and cancellations, and intense competition from both multinational corporations and local rivals. These factors have led to stagnant growth over the past two years. Currently, Pandafoodz generates an annual revenue of Rs. 8,00,000. The objective of this project is to develop strategies to address these challenges. This includes identifying financial solutions to support expansion, and implementing measures to prevent and manage fraudulent orders. The anticipated outcome is to provide Mr. Chhavi Kant Raghav with a comprehensive business expansion plan and effective strategies to minimize losses associated with fraudulent and cancelled orders, based on detailed data analysis.

2. Organization Background

PandaFoodz, a local food delivery service founded two years ago in Diba, Bulandshahr district, Uttar Pradesh, operates in a competitive market, facilitating deliveries from various restaurants to customers within the town. The company was founded by Mr. Chhavi Kant Raghav, who continues to manage its operations. Despite the increasing demand for food delivery services, PandaFoodz has encountered significant challenges in expanding its operations and achieving profitability. The company operates privately with a small team of five, responsible for logistics, customer service, and maintaining partnerships with local restaurants.

Mr. Chhavi Kant Raghav oversees the day-to-day operations and strategic direction of PandaFoodz. The company aims to deliver food reliably and punctually but faces obstacles due to financial limitations and intense competition from well-established giants like Swiggy and Zomato. The annual revenue of PandaFoodz is currently Rs. 8,00,000. As a small startup, the founder and team members draw modest salaries, reflecting the company's current financial scale and growth stage.

3. Problem Statement

3.1 Problem Statement 1: Limited business expansion due to lack of funds.

Objective : Secure funding to invest in marketing, technology, and infrastructure.

3.2 Problem Statement 2: Financial losses resulting from fake orders and frequent order cancellations.

Objective : Implement measures that effectively eliminate and prevent fake orders.

3.3 Problem Statement 3: Expanding Customer Base and Market Reach.

Objective: To expand the customer base and market reach using data-driven marketing and personalized services.

4. Background of the Problem

PandaFoodz has faced significant obstacles in expanding its business, primarily due to financial constraints. Unlike larger competitors, PandaFoodz lacks the necessary funding to invest in marketing, technology, and infrastructure required for growth. The presence of dominant players like Swiggy and Zomato in larger markets further exacerbates the situation, creating barriers to entry and making it challenging for PandaFoodz to attract both customers and restaurant partners. Additionally, the company has struggled with issues such as fake orders and order cancellations, leading to financial losses. These problems stem from inadequate verification processes and the absence of robust fraud detection systems. Furthermore, the local market dynamics, characterized by the presence of several small competitors, add to the complexity of sustaining and growing the business. Addressing these issues is critical for PandaFoodz's survival and future growth. The company must find ways to overcome financial limitations, enhance its verification processes, and compete effectively in a crowded market to secure its position and ensure long-term success.

5. Problem Solving Approach

1. Eliminating Fake Orders

- **Method:** By Implementing Multi-Factor Authentication (MFA) and real-time monitoring.
- **Tools:**
 - **MFA:** Use of Auth0 to ensure only legitimate customers can place orders.
 - **Real-Time Monitoring:** Utilizing IBM Watson to analyze order patterns and detect suspicious activities.
- **Data Source:** Customer order data and user activity logs from the business application.

2. Securing Additional Funds for Expansion

- **Method:** Exploring and securing funding through various channels.
- **Tools:**
 - **Small Business Loans:** Preparing the financial projections using LivePlan.
 - **Crowdfunding Campaigns:** By Launching the campaigns on Kickstarter.
 - **Partnerships and Sponsorships:** By Developing the proposals for local business collaborations.
- **Data Source:** Financial statements, business plans, and market research reports.

3. Enhancing Competitive Edge

- **Method:** By Conducting market analysis and developing unique value propositions.
- **Tools:**
 - **SWOT Analysis:** Using the SurveyMonkey for market research and customer surveys.
 - **Customer Service Training:** Implementing training programs from Udemy.
- **Data Source:** Market analysis reports, customer feedback surveys, and competitor benchmarking data.

4. Reducing Order Cancellations

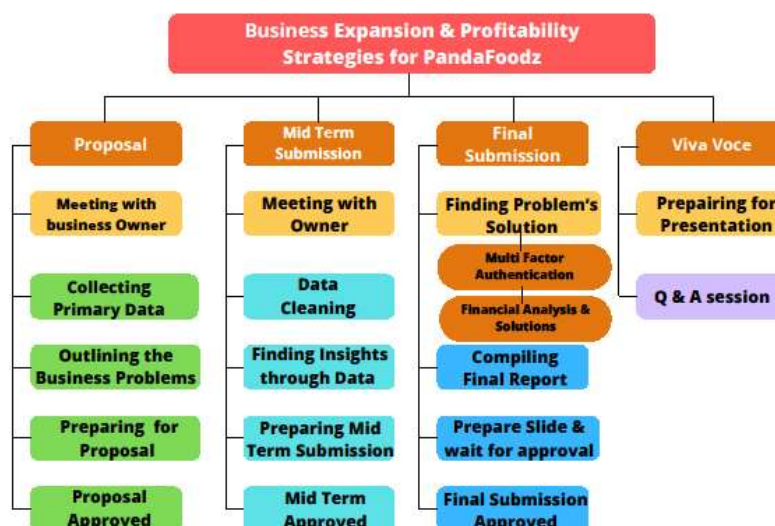
- **Method:** Analyzing order data to identify cancellation patterns and implement solutions.
- **Tools:**
 - **Predictive Modeling:** Using SAS Analytics to forecast demand and manage inventory.
 - **Automated Systems:** Implementing automated cancellation handling systems.
- **Data Source:** Historical order data, customer feedback, and inventory management records.

5. Targeted Marketing Strategies & Personalized Services

- **Method:** Utilizing the precise marketing campaigns and Providing the tailored recommendations and promotions.
- **Tools:** Facebook Ads, Google AdWords and personalized email campaigns.
- **Data Source:** Demographic data, Customer preferences and order history.

6. Expected Timeline

Work Breakdown structure



1.1. Gantt chart

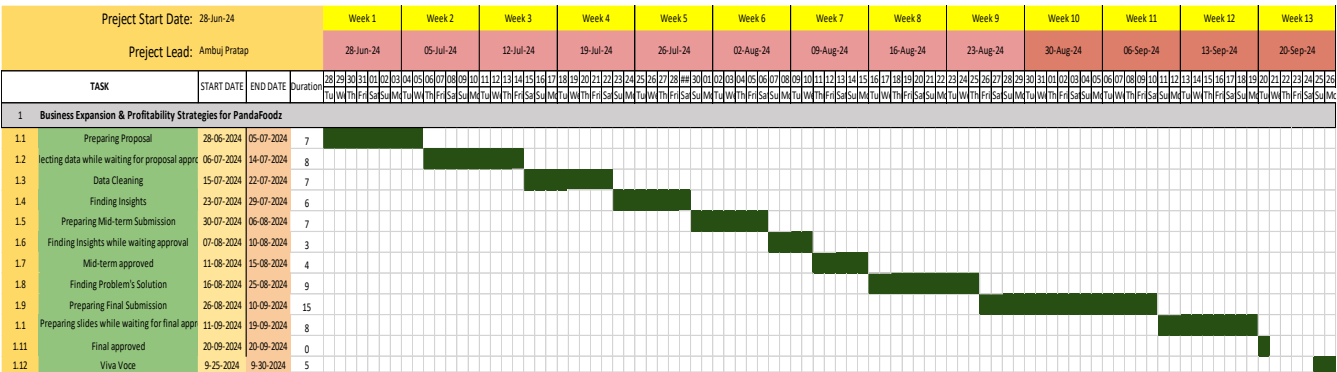


Figure 1 Expected timeline for completion of project.

7. Expected Outcome

The project aims to deliver a comprehensive plan for PandaFoodz’s business expansion, focusing on critical issues such as financial constraints, competitive pressures, and order-related losses. By implementing cost reduction strategies and exploring alternative funding options, PandaFoodz is expected to achieve greater financial stability. Enhancing the company's unique value proposition and customer service will improve its market position and attract more customers. Moreover, the introduction of robust fraud prevention measures will help reduce financial losses from fake orders and cancellations. Overall, the project seeks to establish a sustainable growth model for PandaFoodz, enabling the company to expand its operations, enhance profitability, and strengthen its presence in the competitive food delivery market.